

High education spendings

India Education sector is expected to up its IT spending to an estimated \$704 million by 2012

Planet Vidya

Planet Vidya is India's first 24x7 education portal and online K-12 community to share multimedia content

Feature

"We are not out to make our millions overnight"

Pooja Kothari talks to Vineet Ladia, an ex-software engineer with Infosys, who sells multimedia content to schools in South Africa with his partner Aravind V

I was born and brought up in Baroda, a small town in Gujarat. I went to school there, and later did my engineering there. I joined Larsen & Toubro for five months after graduation, but left to start a manufacturing unit. I built it into a business with a turnover of Rs 3-4 crore in less than two years. After a while, my contribution started stagnating. I had no commercial understanding. So, I decided to do an MBA. I joined the Indian Institute of Management, Ahmedabad, the top business school in India, in 2004.

Those two years built confidence more than business skills. I knew from the beginning that I did not want a cushy job at the end of those two years. I also discovered that I really enjoyed the entrepreneurship course run by Sunil Handa, who took on only 30 students and invited entrepreneurs to talk about their experiences.

I met a like-minded student, who is now my business partner, Aravind V. We explored various sectors and zeroed in on education. First, we thought of starting a school, but then decided to provide services to all those schools that were coming up.

During our free time, we took on an independent project to find out gaps in the education sector. We wanted work that had potential and would allow us to make money. We also realised that not many professionals joined the education sector.

Around this time, both of us got selected for an exchange programme in Canada that was hosting students from 40 countries. We met this guy from South Africa, who told us about the deficiencies in the education sector there. They got a lot of aid for education, but had to return it for want of avenues.

In April 2006, we went to South Africa. We met ministers, private schools, public schools, educationists, et al.

Aravind and I opened an office in July to sell the concept of multimedia content and animation. We were highly conservative with our money. We did not build content first. We simply got brochures done for client meetings. It was only after we met at least a thousand people that we launched our first product.

In fact, at the seed stage, we were offered Rs 2.5 crore for a 30 per cent stake in our business. We refused that. And that was a great decision in hindsight. We did not even spend 10 per cent of our revenue on marketing in South Africa. We would have unnecessarily parted with one third of our equity for money that we didn't need.

We started developing content. Being in Ahmedabad, we got in touch with people at the National Institute of Design, who helped us create good quality animation. From the beginning, we used the one measure that is used by parents all over the world – marks and grades. We are now the only Indian company with statistical data on how multimedia content is improving grades.

We got small projects at first. We were tempted by the money coming in, but we stayed focused on developing our own product. We only sell software. When things looked very bad, we would look at the map and say: every school in the world will use our product. It is just a matter of time.

Aravind showed more courage than me. I was financially stable due to my manufacturing business. But Aravind, despite family responsibilities, would not give up.



Vineet Ladia

I got my motivation from him.

We looked at other channels of sale, such as NGOs and corporate social investments, which had clear, objective briefs. They were clear about getting a return on their money, so our proposition worked. Slowly, we built acceptance for our product

related to school-level science and math.

We now work with 700 schools in South Africa. We launched our services in Baroda three months ago and are working with 18 schools now. We have bundled our software with computers in Mexico. We are looking at developing countries, such as Turkey and Egypt

A lot of players have shown interest in licensing our content, since Indian players have traditionally not invested in developing high-quality content.

What eggs us on is the knowledge that only 1 per cent of schools in India have access to digital content. We are not in a hurry. We have learnt our lessons well in the last few years. Instead of achieving Rs 5 crore in one year, as was our first business plan, we reached there in three years.

We are not out to make our millions overnight. We have been approached by venture capitalists time and again, but we are clear we will not shell out more than 10 per cent of our equity. We are in the midst of some real breakthrough technology, which has a lot of potential for the education sector.

For the time being, we are going with the flow. People create a lot of hype around things. Our purpose is to simplify them using multimedia. We simply want to introduce fun into learning – just as we are having fun building this business around education. **E**